



In the stock markets most often investors allow popular opinion and behaviour to define values for them; sometimes for the good but often not. Their buying or selling decisions are made not on the basis of their own convictions, but on the value that strangers appropriate.

The herd mentality affects business decisions to a great extent. People try to replicate the leaders. In the end everyone behaves alike, which leads to cutting prices for market share. This is very common in the stock brokering business. Technology has made it easy to install trading terminals across the country. So, to survive in a competitive market, brokers have lowered their trading commissions to as little as 3 Paise. The difference between one broker and another is the difference in their commissions, not in the value they offer their clients. That is how the herd mentality works in business.



Size Bias

Two friends, Gautam and Salman, are just out of college and have taken up jobs. From day one Gautam sets aside Rs. 300 every month, which earns him 10 per cent per annum. After 10 years he stops as he has started a family. Salman got married early and did not save anything for a long while. After 10 years, he began to set aside Rs. 300 every month earning him 10 per cent per annum. He continued doing this for the next 30 years until he retired at the age of 60. Salman's investment was Rs. 1,08,000 while Gautam's was only Rs. 36,000.

When both retired who have more money? It would seem to be Salman as he has been saving for 30 years. In reality it was Gautam. At 60, Gautam got Rs. 1,051,212 while Salman got Rs. 621,787. This is the power of compounding which investors normally forget. Salman could not make up for the 10 years that Gautam's money compounded at an annual rate of 10 per cent per annum. We often tend to look at the big numbers and ignore the small. In money matters it is the small figures that make all the difference.